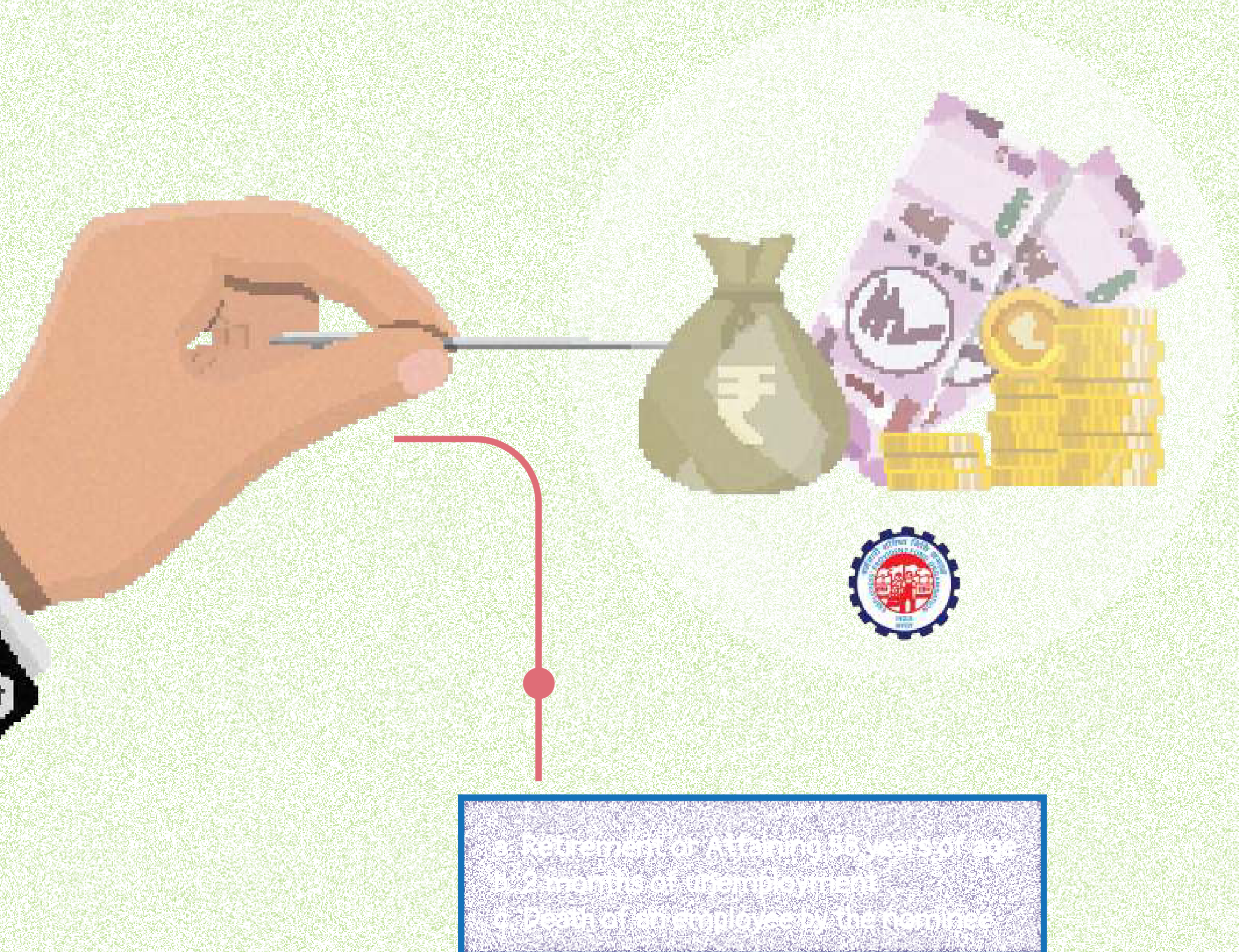


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1. Provident Fund (PF)

Provident Fund is a social security scheme applicable for employees earning a basic salary + DA of INR 15,000 or less. An employee makes a contribution of 12% of Basic Salary + DA from their salary to the PF. Employer contributes the same amount for the employee.

The accumulated PF amount can be withdrawn at:



- Retirement or Attaining 55 years of age
- 2 months of unemployment
- Death of an employee by the nominee

Employees may voluntarily invest more than 12% of Basic in PF. That is called Voluntary PF (VPF). In this case the employer is not required to match the contribution. Employees can invest up to 100% of Basic + DA in VPF.

An employee may take a loan from the PF account for education, medical treatment, marriage or purchase of house. Any organization with more than 20 employees must register with the Employee Provident Fund Organization (EPFO).

Each employee gets a unique UAN (Universal Account Number) from EPFO. When an employee moves from one organization to another, the new organization must pay the PF contribution on the same UAN number of the employee. An organization can get the UAN created for the employees who are joining the workforce for the first time.